

The Impact of AI on the HR Operating Model

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HR at the Cross-Roads: Reinvent Yourself or Be Dissolved

Take the lead and reinvent HR by adapting an AI-infused HR operating model

Up to 50% of what HR is doing
will be automated or run by AI
Agents.
100% of what HR is doing will be
AI-augmented.

Path 1: Others Taking the Lead

- Reactive, wait-and-see
- Incremental AI implementation driven by IT
- No redefinition of HR value proposition
- No major adjustments to HR operating model
- HR shrinks to bare minimum
- HR ultimately dissolves into other support functions

**Be
Dissolved**



Path 2: HR Taking the Lead

- Proactive, digitally-effective
- HR drives its AI implementation
- Rethink HR's value proposition
- Implement AI-infused HR operating model
- Targeted headcount adjustments
- Reallocate HR staff to value-driving roles

**Reinvent
Yourself**

Rethink HR's Value in an AI-first Organization

CHROs' unprecedented opportunity to provide strategic business impact



**Enterprise-wide
AI Transformation**

1. Drive enterprise-wide AI transformation

- Ensure the enterprise-wide AI transformation is “human-first”
- Assess the current workforce and identify areas where AI can complement human skills
- Mitigate risks that the AI transformation poses to talent outcomes



**HR Functional
AI Transformation**

2. Manage a blended human-machine workforce

- Shift strategic workforce planning from human-only to human— and machine-powered
- Redefine collaboration and set standards for human — human and human — machine collaboration

3. Provide AI-enabled hyperpersonalized HR services

- Identify HR activities that can be AI-augmented, AI-automated or performed by AI agents vs. activities to be performed by HR staff
- Leverage AI agents and other AI technologies to customize services to employee needs, while ensuring fair and bias-free decision making

HR BP Today

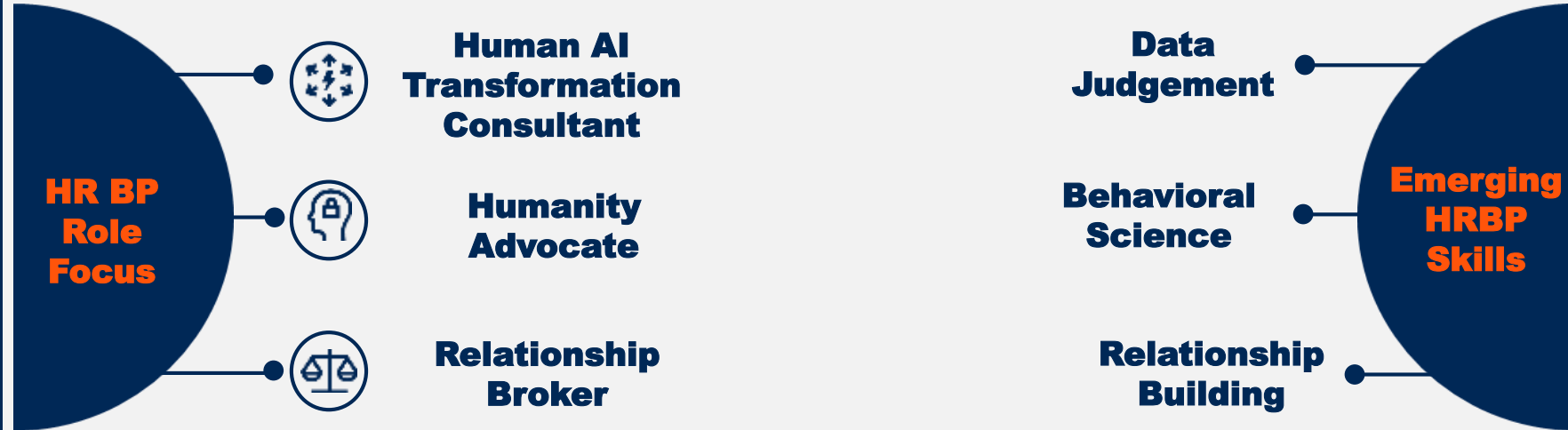
Challenges to Solve

- Administrative work
- “Fire fighting”
- No time/tools/desire/capability to be strategic
- Missing role clarity
- Overlapping responsibilities with other HR roles

Existing Tasks — Becoming Obsolete

- Advise on HR policies, standard procedures, and compliance
- Draft job descriptions
- Summarize engagement survey responses
- Compile monthly HR reports
- Provide onboarding plans
- Suggest learning activities

HRBP Tomorrow



Existing Tasks — Increased Importance

- Support leaders in transforming work and their team structure
- Identify critical skills needs
- Support strategic workforce planning
- Guide upskilling and reskilling of employees
- Mitigate conflict between employees and managers
- Run change management initiatives

New Tasks — Created by Using AI

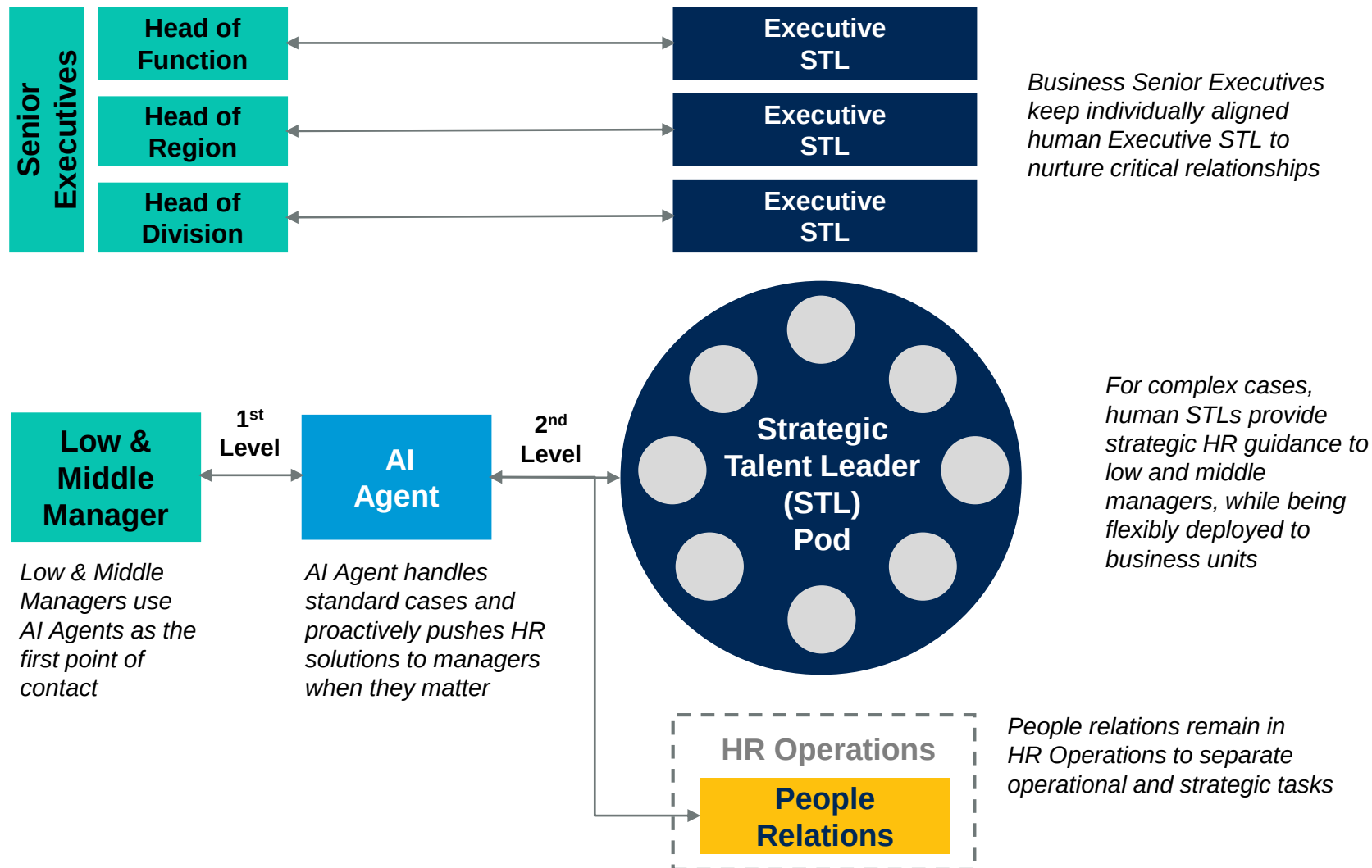
- Drive enterprisewide AI-transformation
- Uncover AI use cases and roles that will be transformed by AI
- Create awareness for bias in AI decisions and ethical use of AI technologies
- Guide human — machine collaboration effective
- Refine employee-employer contract in the age of AI
- Plan human and digital workforce allocation

Structure & Service Delivery



Future HRBP* Interaction Model

*HRBPs are being described as “Strategic Talent Leader (STL)” to highlight their strategic responsibilities and align this presentation to previously published Gartner research.



HR Ops* Today

Challenges to Solve



- Language barriers and complexity of local regulations demand local support, which prevents efficiency
- Multiple entry channels into HR services create employee frustration
- Self-service adoption challenges harm EX
- Long ticket resolution times leave employees waiting

Existing Tasks — Becoming Obsolete

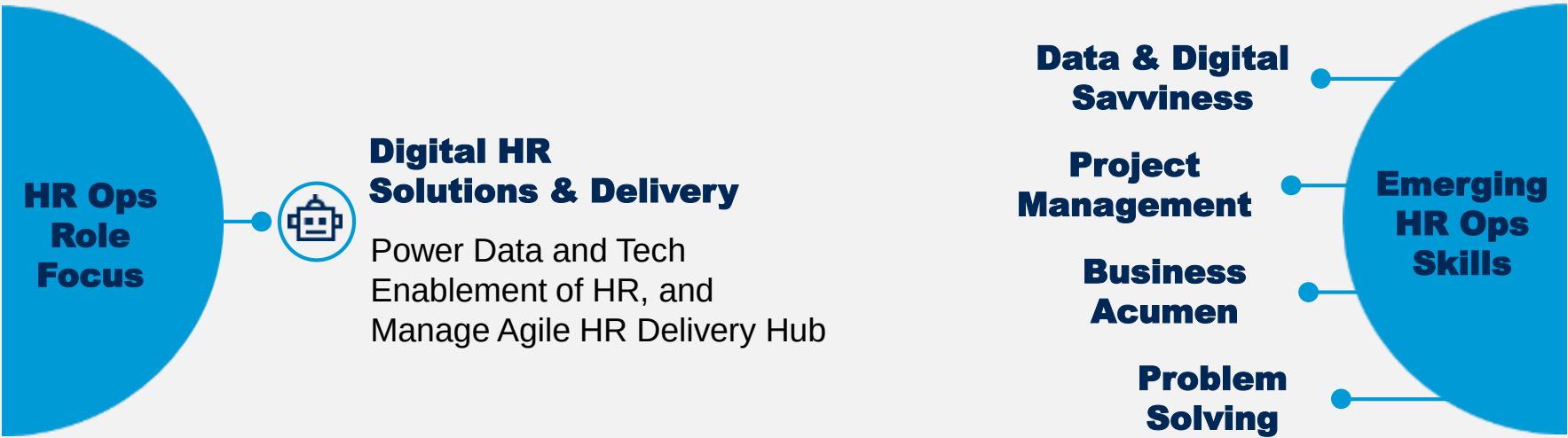


- Create policies
- Process payroll
- Solve standard employee queries
- Administer employee data
- Write knowledge base articles
- Administer benefits
- Monitor compliance and flag issues
- Schedule interviews/trainings

* Gartner defines HR Operations as Shared Services, HR Technology, Human Capital Intelligence, and People Relations Managers

** Global Business Solutions

HR Operations Tomorrow



Existing Tasks — Increased Importance



- Monitor HR functional performance
- Drive HR service innovation and continuous improvement
- Enhance digital employee experience
- Solve complex employee queries
- Predict business changes (like M&A) and derive HR implications

New Tasks — Created by Using AI



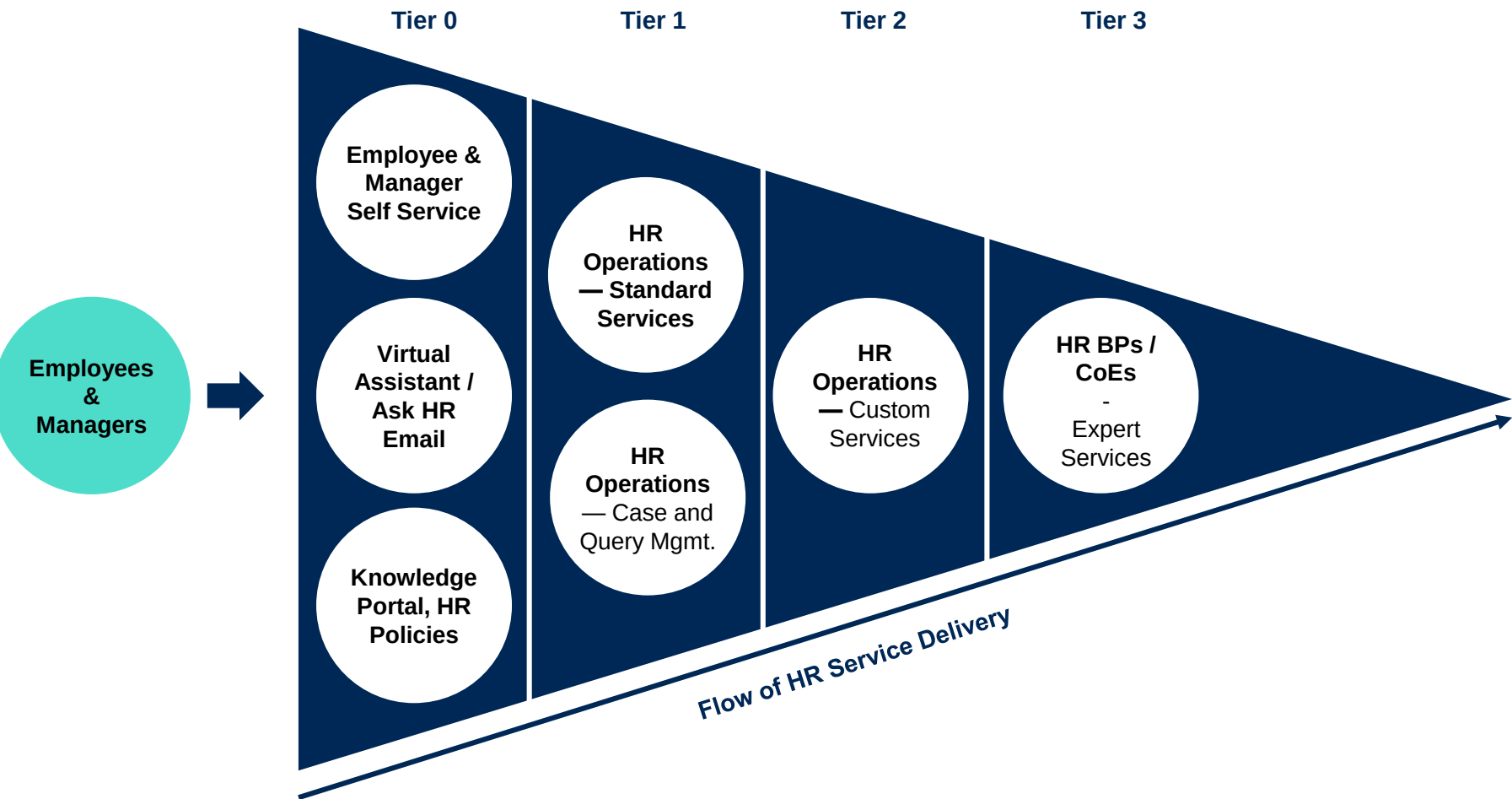
- Manage HR AI ethics and governance
- Manage agile delivery of digital HR solutions
- Simulate economic and workforce scenarios and prepare rest of HR function for their implications
- Run continuous employee sentiment analysis to create hyperpersonalized EX

Structure & Service Delivery



Currently, Employees Struggle With Multiple Entry Channels

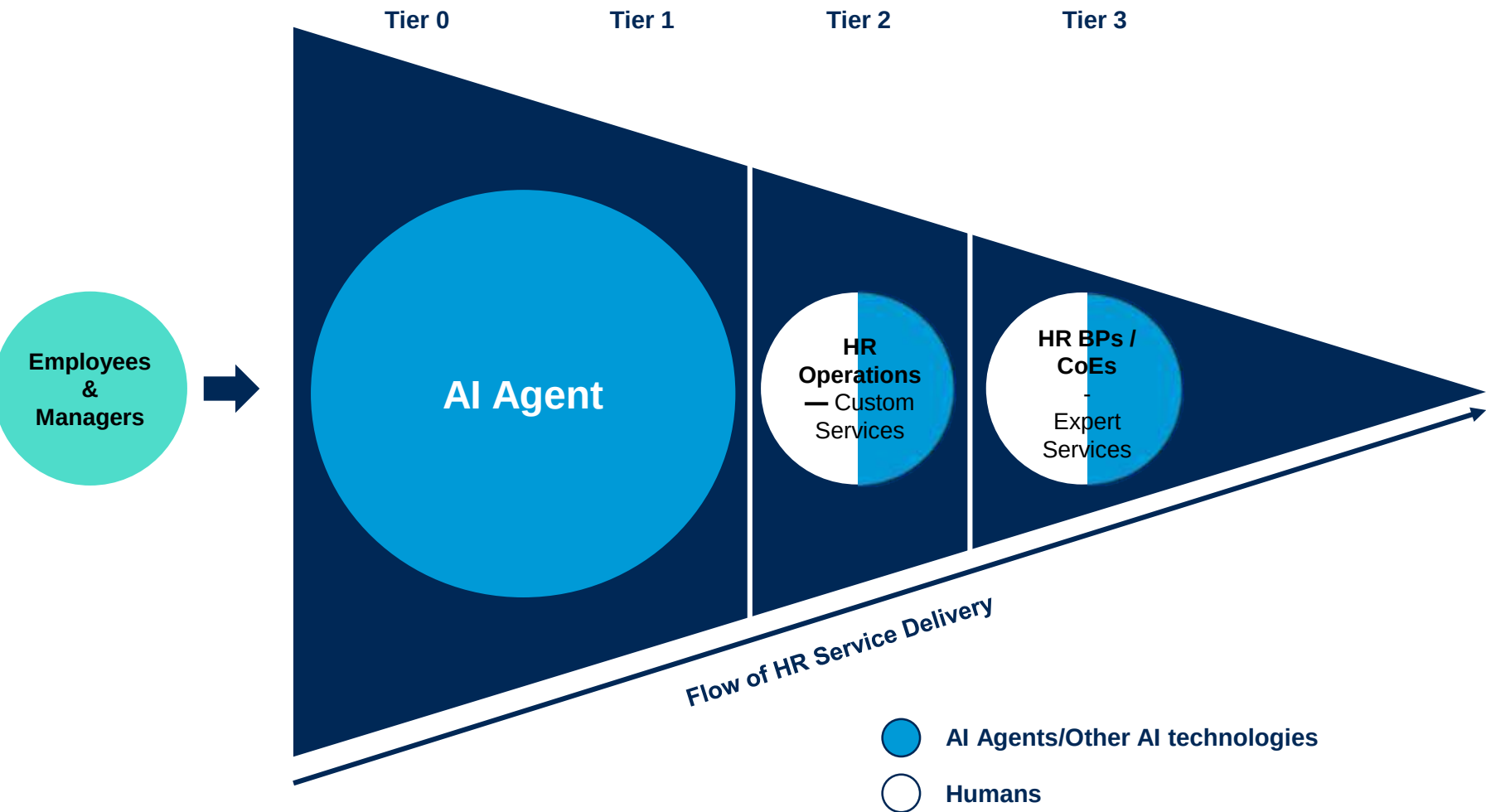
Tiered HR Service Delivery Model — Current State



- Today, employees and managers contact HR through ESS/MSS, via a virtual assistant or direct access channel
- Employees look for information in knowledge portals
- Those first points of contact often frustrate employees as they struggle to resolve their request quickly

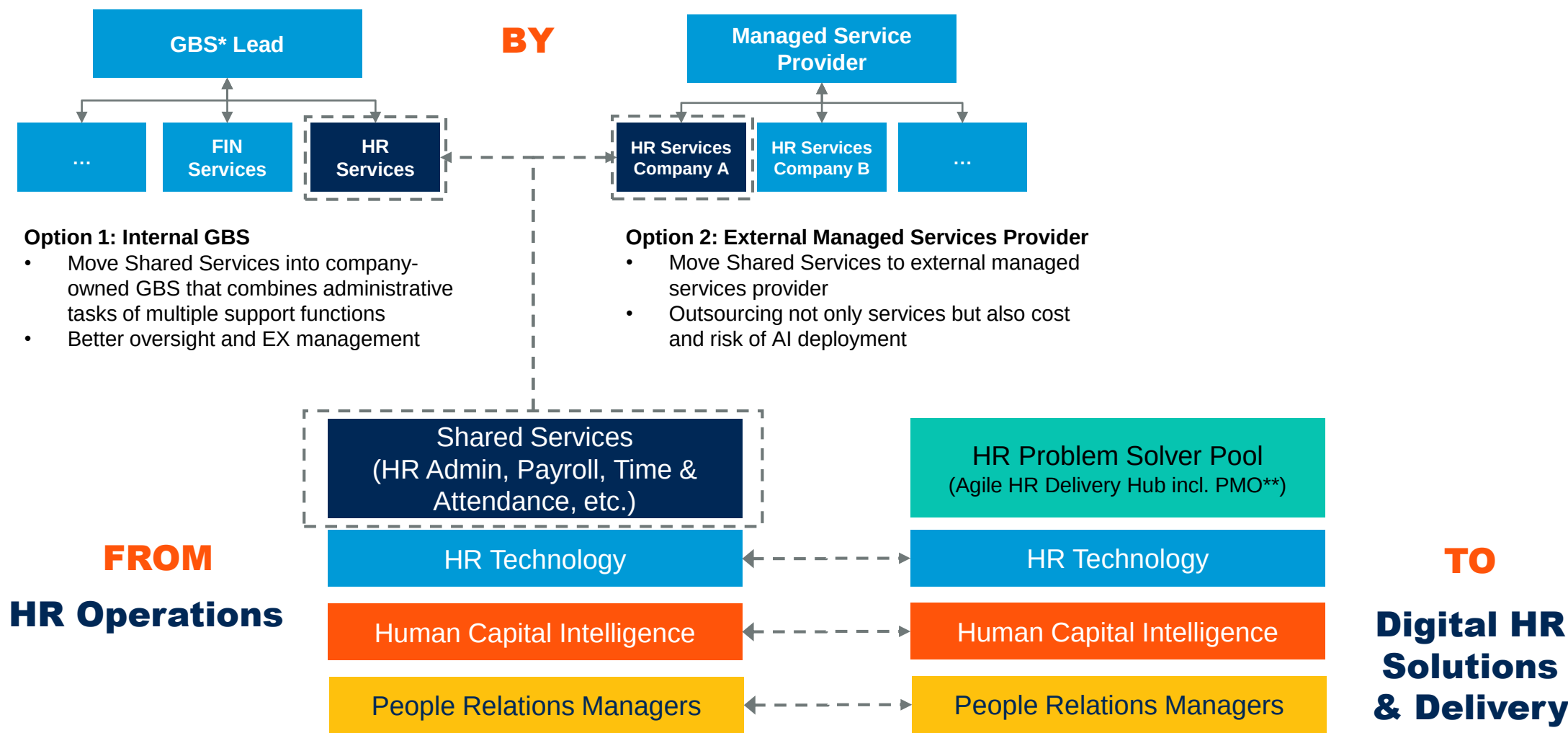
In the Future, AI Agents Will Primarily Handle Requests

Tiered HR Service Delivery Model — Future State



- In the future, employees will contact an AI Agent through existing communication channels such as MS teams or slack
- The AI agent interacts with multiple HR systems, like core HCM
- The AI agent checks the knowledge portal and existing policies for them
- Employees won't need to spend time looking for the correct information/ completing tasks in HR systems anymore
- AI Agents / AI technologies will also augment the work within Tier 2 and Tier 3

From HR Operations to Digital HR Solutions & Delivery



*GBS = Global Business Solutions, **PMO = Project Management Office

CoE Today



Challenges to Solve

- Lack of strategic alignment between CoE's work and business needs
- Functional silos prevent collaboration, knowledge sharing, and lead to duplicated efforts between teams
- Rigid CoE hierarchies and slow decision making

Existing Tasks — Becoming Obsolete

- Screen candidate resumes
- First-level candidate assessment
- Create standard training content
- Analyze employee survey feedback
- Create career development paths
- Design competitive salary structures
- Forecast future workforce needs

CoE Tomorrow

HR CoE Role Focus



Custom HR Product Designer

Develop hyperpersonalized HR Products centered around the customer

**Critical
Thinking**

Innovation

**Product
Management**

**User
Experience**

Emerging CoE Skills

Existing Tasks — Increased Importance

- Elevate proven org-design and change management practices to provide a framework for enterprisewide AI transformation
- Identify future-relevant skills and create frameworks for strategic work(force)planning

New Tasks — Created by Using AI

- Define guidelines for collaboration between humans & machines
- Track real-time employee sentiment data to better and faster align products to business needs
- Provide personalized learning and development
- Provide personalized career paths
- Build dynamic and personalized rewards systems

Structure & Service Delivery

Break
Down Work
into
Products



Manage HR
Products
as Portfolio



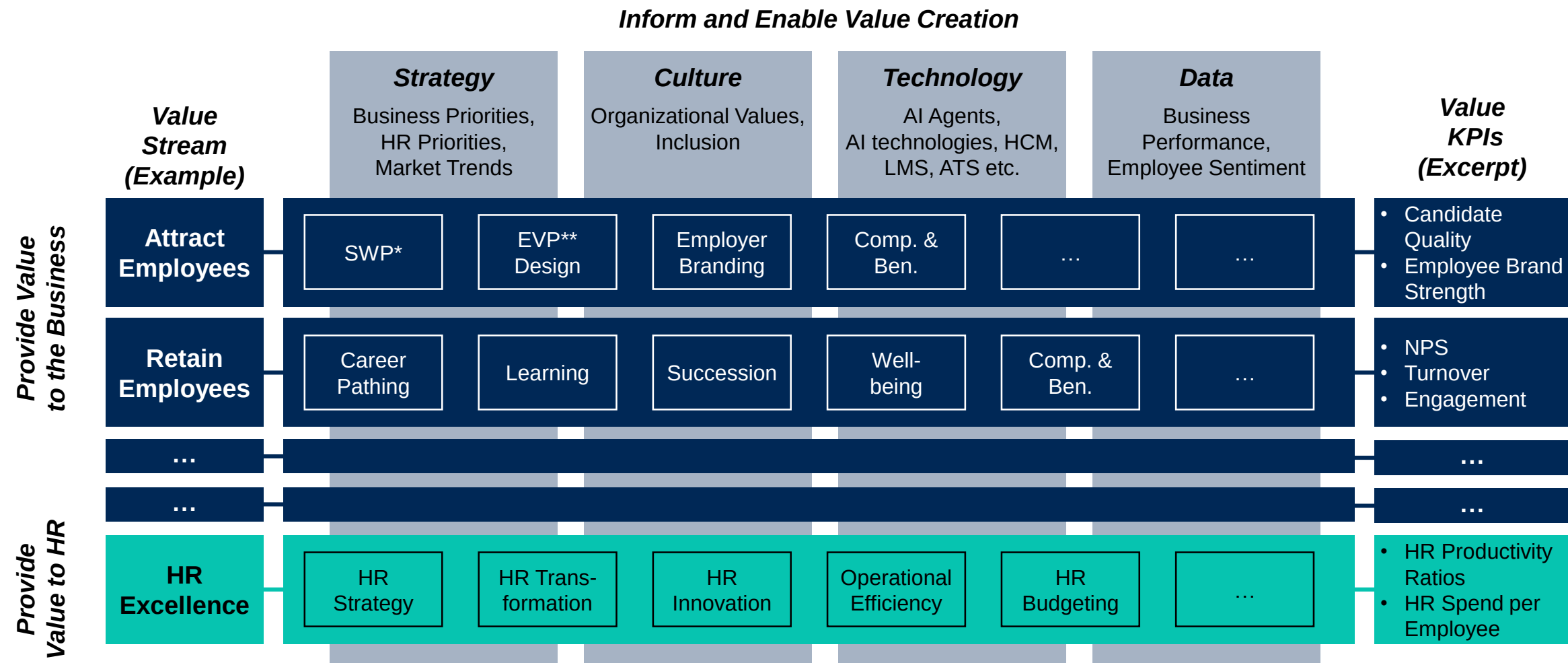
Organize
CoEs along
Value
Streams



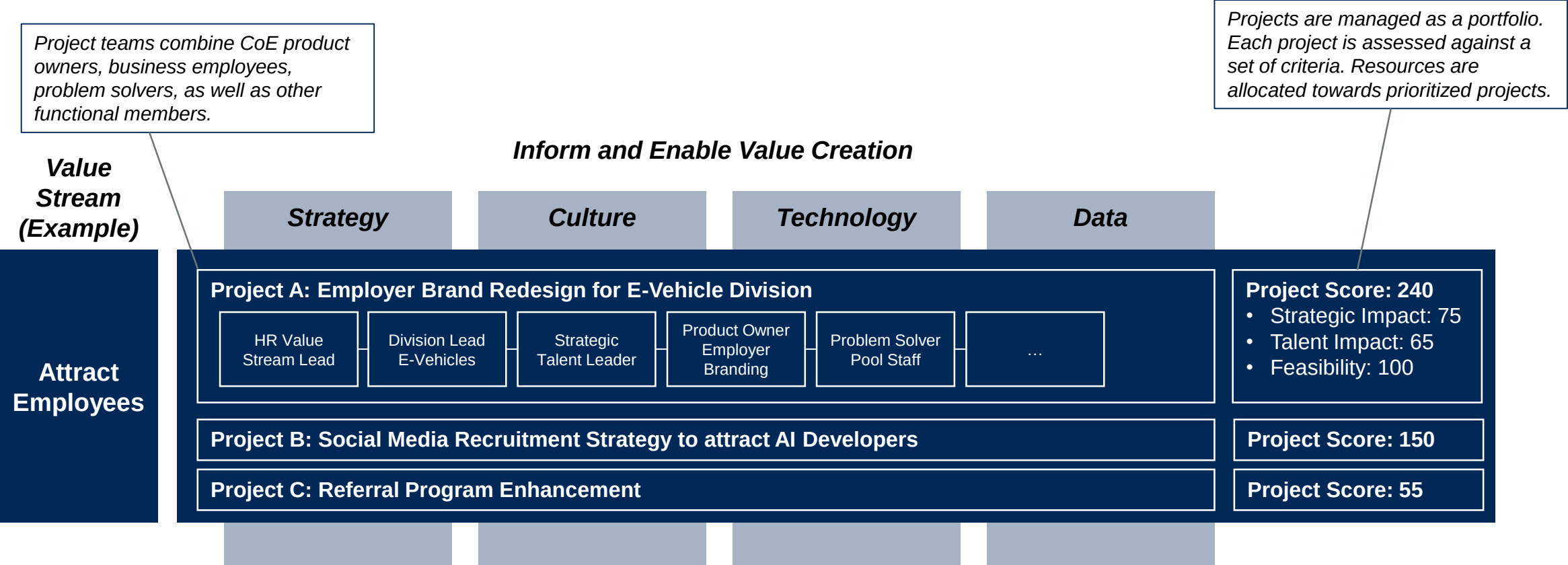
Lead
Enterprise
wide
Projects

CoEs Operate Along Horizontal Value Streams

An HR value stream combines multiple HR products needed to solve a business problem.



HR & Business Collaborate in Projects Within the Value Stream

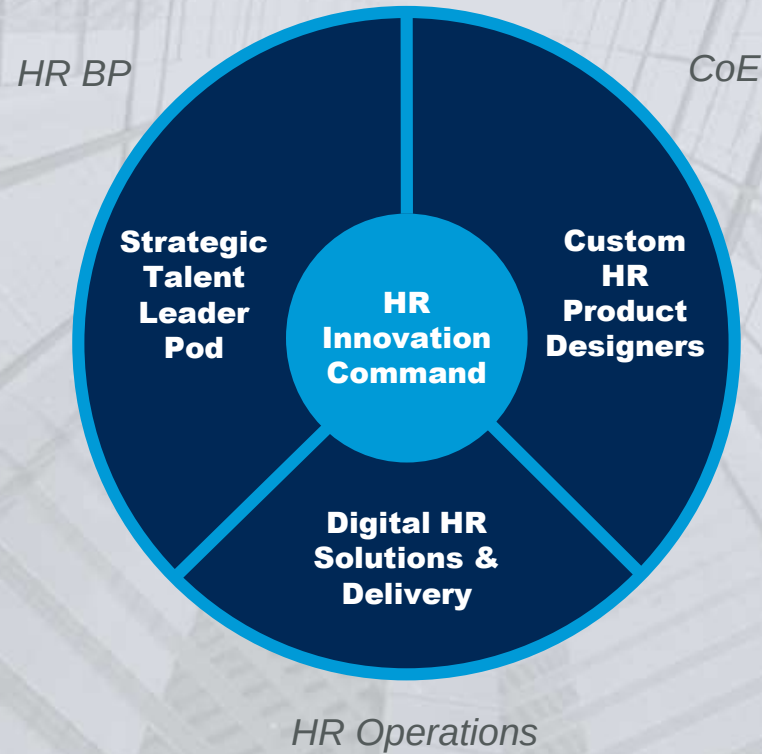




Appendix



AI-Infused HR Operating Model



Design Principles

AI-first, Customer Centricity,
Constant Innovation, and Dynamic Deployment

Building Blocks and their Business Value



HR Innovation Command



Lead HR through its Re-Invention and Drive HR's AI-Transformation



AI in HR Product Leader, Head of HR Strategy,
Head of HR Transformation



Custom HR Product Designers



Develop Hyper-personalized HR Products Centered
Around the Customer



HR Value Stream Leads, Product Owners, and Product
Managers



Strategic Talent Leader (STL) Pod



Drive Human-First AI Transformation in the Business and
Provide Strategic People Advice



Dynamic STL Pod and Executive STLs



Digital HR Solutions & Delivery



Power Data and Tech Enablement of HR and
Manage Agile HR Delivery Hub



Problem Solver Pool, HR PMO, HR Technology, Human
Capital Intelligence, People Relations Managers

Definitions

AI Agents are *autonomous or semiautonomous* software entities that leverage AI techniques to perceive their environment, *make decisions, take actions*, and achieve goals within digital or physical settings.

Agentic AI is the *broader approach* to building AI solutions based on the use of software entities that classify completely or at least partially as AI agents.

GenAI refers to a category of artificial intelligence technologies that can *generate new content, strategies, designs, and methods* by learning from large datasets of original source content.

Definitions

The **AI-infused HR operating** model describes a state of the HR function in which HR tasks are primarily powered by AI.

AI is intentionally embedded across platforms and used in every viable and desirable process and interaction within the HR function.

This includes the use of **AI agents** — an emerging technology that can autonomously make decisions and perform tasks — across multiple HR processes and roles.